

that arise spontaneously as a result of attitudes and feelings and that cause the decision to deviate from the rational decisions of traditional finance.

Cognitive errors, which stem from basic statistical, information processing, or memory errors, are more easily corrected for than are emotional biases. Why? Investors are better able to adapt their behaviors or modify their processes if the source of the bias is illogical reasoning, even if the investor does not fully understand the investment issues under consideration. For example, an individual may not understand the complex mathematical process used to create a correlation table of asset classes, but he can understand that the process he is using to create a portfolio of uncorrelated investments is best. In other situations, cognitive biases can be thought of as “blind spots” or distortions in the human mind. Cognitive biases do not result from emotional or intellectual predispositions toward certain judgments, but rather from subconscious mental procedures for processing information. In general, because cognitive errors stem from faulty reasoning, better information, education, and advice can often correct for them.

DIFFERENCE AMONG COGNITIVE BIASES

In this book, we review 13 cognitive biases, their implications for financial decision making, and suggestions for correcting for the biases. As previously mentioned, cognitive errors are statistical, information processing, or memory errors—a somewhat broad description. An individual may be attempting to follow a rational decision-making process but fails to do so because of cognitive errors. For example, they may fail to update probabilities correctly, to properly weigh and consider information, or to gather information. If corrected by supplemental or educational information, an individual attempting to follow a rational decision-making process may be receptive to correcting the errors.

To make things simpler, I have identified and classified cognitive biases into two categories. The first category contains “belief perseverance” biases. In general, belief perseverance may be thought of as the tendency to cling to one’s previously held beliefs irrationally or illogically. The belief continues to be held and justified by committing statistical, information processing, or memory errors.

Belief Perseverance Biases

Belief perseverance biases are closely related to the psychological concept of cognitive dissonance, a bias I will review in the next chapter. Cognitive